

Form 1099-R — Distributions From Retirement Plans (2025)

Payer: Meridian 401(k) Plan / Vanguard Fiduciary • Recipient: Diane R. Okafor • TIN XXX-XX-4417

Box	Description	Amount / Code
1	Gross distribution	\$15,000.00
2a	Taxable amount	\$15,000.00
4	Federal income tax withheld	\$1,500.00
7	Distribution code	1 — early distribution, no known exception

The full \$15,000 is taxable income. Box 7 code 1 indicates the payer is not aware of an exception to the 10% additional tax — but exceptions claimed by the taxpayer are reported on Form 5329.

Distribution context

This distribution was taken in 2025 to pay unreimbursed medical expenses during cancer treatment. The 10% additional tax on early distributions does **not** apply to the part of a distribution that does not exceed unreimbursed medical expenses above 7.5% of AGI (Form 5329, exception code 05). Federal tax of \$1,500 was withheld and counts toward total payments.